

lesson 2

types of business organizations and legalities(for when registering you fashion brand in the government)

-Public sector: business owned and controlled by the government

-Private sector: business owned and controlled by private individuals (ordinary people)

Types of private sector business

-Unincorporated: no separate legal identity (in the eyes of the government, you and the business are one thing)

-Incorporated: has a separate legal identity

-Other forms: franchise and joint ventures

Types of unincorporated businesses

-Sole trader: a fashion brand that is owned and managed by one person(a company that has one owner)

-Partnership: a fashion brand that is owned and managed by two or more people, who share profits and the losses of the business. To decrease disagreements between partners, they could have a verbal or written agreement that is called a partnership deed

Advantages and Disadvantages of a sole trader

-Advantages

- **Easy to set up:** very little capital needed to start up, and also few legal formalities in starting and running the fashion brand

- **The sole trader (owner) has full control over the business:** the owner is free to choose their working hours, who to employ, and what jobs to do (which could be dangerous(not always good)) also decisions are taken quickly so could respond faster to market changes and be ahead of competitors
- **The sole trader (owner) receives all of the profits:** because there are no partners(like in a partnership) and there are no dividends to be paid (like an incorporated business), and receiving all of the profits could motivate the sole trader to work harder
- Not required to publish financial accounts or information to anyone else except the tax office

-Disadvantages

- **Takes all the risk:** there is nobody to share losses with
- **Lack of capital:** They only depend on owners' savings or money from friends and family for capital because banks do not trust them enough to give them loans
- **Full responsibility for managing the business and limited specialization:** limited specialization because there is nobody to share ideas or responsibilities with, and the owner has full responsibility for day-to-day work
- **Have unlimited liability:** because there is no separate legal identity a sole trader could lose all their personal items to pay off any business debts in the event of bankruptcy
- **No separate legal identity:** the fashion brand does not exist legally after the owner's death

Advantages and Disadvantages of a Partnership

-Advantages:

- **Easy to set up:** just like a sole trader, a partnership is easy to set up because it has few legal requirements that are needed in making the partnership deed or agreement
- **More capital:** because there are more owners

- **Partners bring new skills and ideas to the business:**
responsibilities are divided between partners because partners may have different skills, so you divide the responsibilities depending on your skillset, so more specialization so more efficiency
- **Not required by law to publish annual financial accounts**

-Disadvantages:

- **Unlimited liability:** because there is no separate legal identity, partners could lose all their personal property in the event of bankruptcy
- **No separate legal identity:** if one of the partners dies, the business doesn't exist legally (the business does not exist legally after one of the partners dies) (which makes it a bad choice for the Long term)
- **Disagreements between partners:** decision making slows down because you need to discuss the decision with partners, which makes your fashion brand respond to market changes more slowly; the more partners, the more disagreements
- **Profits are shared:** so less motivation to put in extra effort

Types of incorporated business

All **limited companies** are incorporated businesses, and examples of limited companies are

-Private limited company: shares are only sold to friends and family

-Public limited companies: shares are sold to the public (everyone)

Limited companies

-Owned by shareholders: people who buy shares in limited companies are owners in the limited companies (share is a percentage of the company)

-Sell stocks (also known as shares): to raise capital (to get money)

-Separate legal identity (continuity of ownership): If one of the owners dies, the business still exists legally

-Dividends: each share (stock) purchased in the company gets a share of its profit after taxes on profits have been paid

-Annual general meeting (AGM): Because some limited companies have several thousand shareholders, they have to hold an AGM that shareholders can attend to vote on important decisions

-Separation between ownership and management

A person who owns more than 50% of the shares in a company will control the company

Private limited companies(LTD)

-Ownership: It is owned by a small number of shareholders because shares are only sold to friends and family

-How Companies Sell Shares: Shares are sold privately to friends and family, but only if all current shareholders agree

-Who controls the company: A company is controlled by its majority shareholder. If a person owns 50% or more of the shares, they effectively control the company's decisions.

-Raising capital through selling shares: difficult because shares cannot be sold to the public; they can only be sold to friends and family.

-Taking out a loan: It's harder to get a loan because the business has fewer assets to offer as collateral. With lower collateral, banks and financial institutions are less likely to approve the loan.

Quick tip

Collateral is something valuable (like property or equipment) that the bank can take if you don't pay back the loan.

-Legal requirements: A private limited company has a lot of legal requirements and can be more expensive to run due to ongoing accounting and legal paperwork.

-Risk of takeover: low because shares are sold privately to friends and family with the agreement of all current shareholders. This makes it hard for outsiders to take control of the business(take over).

Public limited companies(PLC)

-Ownership: it is owned by a large number of shareholders (the public)

-How companies sell shares: shares are sold to the public (everyone) through the stock market

-Who controls the company: The board of directors is responsible for the overall strategy and major decisions of the fashion brand, while the CEO handles the daily operations and ensures that everything runs smoothly(separation between ownership and management)

-Raising capital through selling shares: It is very easy to raise large amounts of capital through selling shares because shares are sold to the public

-Taking out a loan: banks are more willing to give public limited companies loans because they are usually large companies, so they have more collateral

-Legal requirements: Public limited companies (PLCs) have more legal requirements than private limited companies (LTDs), and these requirements cost more.

-Risk of takeover: a public limited company has a higher risk of takeover than a private limited company because a public limited company's shares are sold to the public, so anyone could purchase its shares

Advantages and disadvantages of a private limited company

-Advantages:

- **Limited liability:** Because the company has a separate legal identity, the shareholders (owners) have *limited liability*. This means they are not personally responsible for the company's debts — their personal belongings are not at risk if the business fails.
- **Separate legal identity:** This means that the business is seen as a different person from its owners in the eyes of the law. So, if one of the owners dies, the business can continue to exist and operate legally without being affected.
- **More permanent capital:** money raised doesn't need to be returned because it comes from selling shares
- **Greater potential for growth:** The business has more opportunities to expand over time because it can raise money more easily from banks and investors. It also has limited liability, which means if the business can't repay its loans, the owners' (shareholders') personal belongings (like their house or car) are not at risk.

-Disadvantages:

- **Limited growth opportunities:** Because shares can only be sold to friends and family, it limits how much money the business can raise, which also limits how much the business can grow.
- **Less liquidity for shareholders:** Shareholders can't easily turn their shares into cash because they need the approval of all other shareholders before selling them.
- **Information is publicly available:** Financial information must be published, which means competitors and the public can see how the business is performing.

Advantages and disadvantages of a public limited company

-Advantages

- **More liquidity for shareholders:** Shareholders can easily sell their shares and get cash because the company's shares can be sold to anyone without needing permission from others.
- **Limited liability:** shareholders are not responsible for business debts, and their personal assets are not at risk.
- **Non-repayable capital:** capital doesn't need to be returned because it is raised through selling shares
- **Greater potential for growth:** The business has more opportunities to expand over time because it can raise money more easily from banks and investors. It also has limited liability, which means if the business can't repay its loans, the owners' (shareholders') personal belongings (like their house or car) are not at risk.
- **Shareholders have no management responsibilities. (Ownership is separate from control):** Shareholders have no management responsibilities because ownership and management are separate — the owners are not required to manage the business.

-Disadvantages:

- **It can cost a lot to set up a public limited company:** applying to be listed on the stock exchange and meeting all its rules and requirements can be very expensive.
- **Original owners might lose control if others buy enough shares.** Because the shares are available to the public, there's a higher risk of a takeover. If someone buys more than 50% of the shares, they gain control of the company, and the original owners lose their control over the company
- **Management disadvantages:** Because there are many owners (shareholders), communication can become difficult. This can slow down decision-making.
- **Information is publicly available:** Financial information must be published, which means competitors and the public can see how the business is performing.

